

Japan Q&A – geopolitical uncertainty in the Middle East: closer coordination between the government and the BoJ becomes essential

- Amid continued uncertainty in the Middle East, what are the implications for the economy and prices?
- How would a slowdown in economic growth affect momentum for wage increases?
- Why has a gap emerged between the government and the BoJ?
- Is it natural for the government to seek coordination with the BoJ?
- How will the government deal with the weak JPY?
- What is the dual mandate the government imposes on the BoJ?

Question 1: At this week's Monetary Policy Meeting, the BoJ decided to keep the policy rate unchanged at 0.75%. With tensions in the Middle East ongoing, it judged that it would need to assess the impact of surging oil prices on the economy and prices. This marks the third consecutive meeting with no change. Of the nine Policy Board members, three advocated a rate hike, but the proposal was rejected by a majority vote. How do you view the impact of continued uncertainty in the Middle East on the economy and prices?

Our view: A significant rise in oil prices would result in a large outflow of income from Japan to overseas, increasing the risk of a substantial downside to real GDP growth. The BoJ has revised down its real GDP growth forecast from +1.0% to +0.5%. It should be noted that the BoJ's outlook is based on an optimistic assumption: that tensions in the Middle East would ease, oil prices would decline and major supply chain disruptions would not materialise. If this assumption proves incorrect, the real GDP growth forecast would be revised further downward, raising the risk that economic growth would stall.

Question 2: The BoJ has identified developments in the Middle East as a key risk factor, noting the need to closely monitor their impact on financial and FX markets, as well as Japan's economy and prices. It revised down its real GDP growth outlook for FY26 from +1.0% to +0.5%, and for FY27 from +0.8% to +0.7%. It also expects higher oil prices to worsen the terms of trade, thereby weighing on corporate profits and households' real income. How would a slowdown in economic growth affect momentum for wage increases?

Our view: Japan's potential growth rate is estimated at around +0.5%. The BoJ expects real GDP growth in FY26 to remain roughly in line with potential and to recover slightly above it in FY27. However, if the optimistic assumptions break down and growth is revised further downward, the economy would fall below potential growth for two consecutive years, effectively entering a downturn. In that case, the momentum for wage increases that has been building would likely be adversely affected.

Question 3: Prime Minister Sanae Takaichi, speaking at a Labour Day event organised by Rengo, emphasised that the government would ensure conditions for wage increases and called for cooperation to achieve sustained wage growth exceeding inflation. The administration advocates "proactive public finance" and aims to build a strong economy through investment, and therefore remains cautious about early rate hikes. Meanwhile, the BoJ had been preparing the



Takuji Aida

Chief Economist Japan
+81 3 4580 5360
takuji.aida@ca-cib.com



Ken Matsumoto

Macro Strategist Japan
+81 3 4580 5337
ken.matsumoto@ca-cib.com

Click below to experience our new interactive data website:

RED MOUNT Analytics
BY CRÉDIT AGRICOLE CIB

groundwork for rate hikes, but ultimately decided to hold policy steady due to ongoing geopolitical uncertainty. Why has such a gap emerged?

Our view: The Takaichi administration has effectively imposed a dual mandate on the BoJ, emphasising the importance of conducting monetary policy in a manner consistent with achieving both “strong economic growth” and “stable price increases.” This new dual mandate has received little media attention. Previous administrations had imposed only a single mandate – “stable price increases”. While the BoJ believes that stable inflation would lead to sustained growth, the current situation does not provide a clear outlook for “strong economic growth” in our view. Furthermore, although rising oil prices have led the BoJ to revise up its inflation forecast, it remains within the 2% range consistent with “stable price increases.” Taking into account the risk of negative effects on wage momentum and the need to balance growth with price stability, the BoJ appears to have decided to maintain its current policy stance.

Question 4: *It is said that pressure from the Takaichi administration, which is cautious about early rate hikes, also contributed to the BoJ's hesitation. As the “guardian of price stability,” the BoJ's independence is crucial and maintaining an appropriate distance from politics has long been a challenge. Nevertheless, is it natural for the government to seek coordination with the BoJ?*

Our view: The Takaichi administration places importance on Article 4 of the BoJ Act, which calls for monetary policy to be conducted in a manner consistent with the government's basic economic policy stance. Therefore, the government seeking coordination with the BoJ to achieve both “strong economic growth” and “stable price increases” does not contradict the BoJ's independence. In fact, the Federal Reserve in the US is tasked not only with price stability but also with maximising employment. What central banks possess is independence over the instruments of monetary policy to achieve their mandates – not independence in setting those mandates themselves.

Question 5: *With inflation concerns rising due to higher oil prices, central banks would typically raise interest rates to curb economic activity by increasing financing costs. Regarding such rate hikes, Minister of Economy, Trade and Industry Ryosei Akazawa stated on a programme that raising rates could be “one option” to curb JPY depreciation. However, Prime Minister Takaichi reportedly called him aside and admonished him after a Council on Economic and Fiscal Policy meeting. How do you view this?*

Our view: With proactive fiscal policy expanding the size of the economy and the current level of JPY depreciation, Japan's capital expenditure cycle has begun to turn upward. Sanaenomics aims to further accelerate this cycle through strategic public-private investment and an accommodative monetary environment, restoring firms from an abnormal investment shortfall to a normal state of investment surplus and enabling a complete exit from economic stagnation. As long as the capex cycle is strengthening, expectations of expanding future supply capacity would persist, helping to prevent extreme JPY depreciation. Such extreme currency weakness tends to arise when future supply capacity is expected to deteriorate. Once investment-driven expansion in supply capacity begins, the trend would shift from JPY depreciation to appreciation. If the BoJ were to react prematurely to current JPY weakness by raising rates and thereby stalling the capex cycle, it would heighten the risk of future supply capacity deterioration, potentially triggering extreme JPY depreciation in the future. It can also be argued that the excessive JPY strength prior to Abenomics led to underinvestment and erosion of supply capacity, which in turn contributed to the current JPY weakness. Differences between short-term and long-term perspectives are what make economic policy responses difficult to communicate in our view.

While a weaker JPY is a tailwind for domestic investment, an excessively JPY could increase costs and place a greater burden on households. A USD/JPY weaker than 160 would likely be addressed through aggressive currency intervention by the Ministry of Finance, rather than by the BoJ raising rates, which would risk disrupting the capex cycle. In fact, it is believed that intervention occurred on 30 April. Japan's FX reserves are enormous, exceeding 30% of GDP, three times that of the Eurozone (around 10%). Currency intervention can be

justified by returning FX reserves to an appropriate level. This would involve selling foreign currency assets purchased during past periods of JPY appreciation, resulting in substantial realised gains. These gains could also be used as a source of funds for returning benefits to households through proactive fiscal policies, including a reduction in the consumption tax rate. The Ministry of Finance is expected to maintain its stance on currency intervention until the expansion of supply capacity due to increased investment shifts the trend from a weaker to a stronger JPY.

Question 6: The government has effectively imposed a dual mandate on the BoJ, stating that “it is extremely important that monetary policy be conducted appropriately to achieve both ‘strong economic growth’ and ‘stable price increases.’” At the April Monetary Policy Meeting, why did three Policy Board members vote against maintaining the current policy?

Our view: In its April Outlook Report, the BoJ revised down its forecast for real GDP growth for FY26, while revising up its inflation forecast. Real GDP growth is now projected at +0.5%, roughly in line with the potential growth rate, and therefore can no longer be described as “strong economic growth.” Inflation is in the 2% range, which can be regarded as consistent with “stable price increases.”

However, the Tokyo core CPI (excluding fresh food and energy) rose only +0.9% YoY in April, which is very weak and well below the 2% price stability target, reflecting weak domestic demand. Industrial production declined by -0.5% MoM in March, and the METI forecast index for April (after error adjustment) also fell by -0.7%. There is now a risk of a significant drop in production in Q2.

Amid heightened uncertainty stemming from geopolitical risks, the BoJ would likely continue maintaining its current monetary policy stance. At the April meeting, while the executive members—who are more conscious of coordination with the government—supported maintaining the current policy, three Policy Board members with little connection to the government opposed it.

In terms of the risk balance, the assessment that “downside risks to the economic outlook and upside risks to the price outlook are greater” effectively forced policymakers to take the dual mandate into account. Meanwhile, the additional remark that “due attention needs to be paid to the risk that inflation could overshoot significantly and adversely affect the economy thereafter” would simply reflect the views of the dissenting members.

Note: The content is a personal opinion and does not necessarily reflect the government's view.

Japan economic update

Japan		Q125	Q225	Q325	Q425	Q126f	Q226f	Q326f	Q426f	Q127f	Q227f	Q327f	Q427f	CY25	CY26f	CY27f	CY28f
Real GDP	qoq%	0.3	0.6	-0.7	0.3	0.3	0.1	0.1	0.1	0.2	0.3	0.4	0.4				
	qoq ann.%	1.1	2.4	-2.6	1.3	1.2	0.4	0.5	0.6	1.0	1.3	1.5	1.5				
	yoy%	1.6	2.0	0.7	0.5	0.6	0.1	0.9	0.7	0.6	0.8	1.1	1.3	1.2	0.5	1.0	1.5
Private consumption	qoq%	0.7	0.2	0.5	0.3	0.1	0.0	0.1	0.1	0.2	0.2	0.3	0.3	1.5	0.7	0.7	1.4
Residential investments	qoq%	-0.2	0.0	-8.4	4.9	2.0	0.5	0.5	0.4	0.4	0.4	0.4	0.4	-2.4	1.8	1.7	1.6
Non-residential investments	qoq%	0.5	1.2	-0.0	1.3	0.3	0.2	0.2	0.4	0.5	0.6	0.6	0.6	1.9	1.9	1.9	2.2
Public investments	qoq%	-0.1	0.2	-1.3	-0.5	0.8	0.3	0.3	0.3	0.3	0.4	0.4	0.4	-0.3	0.3	1.4	1.6
Net trade	pp	-0.5	0.1	-0.2	-0.0	-0.1	-0.1	-0.1	-0.1	-0.0	-0.0	-0.0	-0.0	-0.2	-0.3	-0.2	-0.1
Exports	qoq%	-0.2	1.9	-1.4	-0.3	-0.1	-0.3	0.0	0.2	0.3	0.4	0.4	0.4	2.9	-0.8	1.0	1.6
Imports	qoq%	2.5	1.4	-0.1	-0.3	0.4	0.5	0.5	0.5	0.5	0.5	0.5	0.5	4.0	1.2	2.0	2.3
Nominal GDP	yoy%	5.3	5.4	4.2	3.9	3.3	1.2	1.4	0.9	1.2	1.8	2.5	2.9	4.7	1.7	2.1	3.3
Core CPI (ex fresh food)	yoy%	3.1	3.5	2.9	2.8	1.8	1.5	1.6	1.6	2.1	1.7	1.7	1.7	3.1	1.6	1.8	2.0
Core-core CPI (ex fresh food and energy)	yoy%	2.7	3.2	3.2	3.0	2.5	1.9	1.7	1.5	1.6	1.8	1.8	1.9	3.0	1.9	1.8	2.0
Unemployment rate	%													2.5	2.7	2.6	2.5
Nominal agg. compensation	yoy%													3.7	2.8	3.6	4.2
Corporate savings rate	%GDP													3.5	2.5	0.5	-1.5
Household savings rate	%GDP													1.5	3.0	5.0	5.0
Fiscal balance	%GDP													-1.0	-2.5	-2.5	-1.5
Current account balance	%GDP													4.0	3.0	3.0	2.0
BoJ policy rate (current account interest rate)	% (end)	0.50	0.50	0.50	0.75	0.75	0.75	0.75	1.00	1.00	1.25	1.50	1.75	0.50	1.00	1.75	2.25
10Y JGB yield	% (end)	1.35	1.40	1.65	1.80	2.20	2.35	2.40	2.50	2.50	2.55	2.60	2.65	1.80	2.50	2.65	2.70

As of May 1 2026

*IS balance items based on flow of funds data

Source: Cabinet Office, BoJ, MIAC, Bloomberg, Crédit Agricole CIB

Macro Research advanced tools

With Red Mount Analytics, we are setting a new standard for market intelligence

Macro Rates Markets Sectors

1 - Outlook and Forecasts

Global Macro Outlook

Macro Forecasts

2 - Global Economics

Growth Monitor, Eurozone

Growth Monitor, US

Japan Monitor

Labour Market US & Europe

Sectoral Growth Dynamics Europe

3 - Leverage analytics

Global Leverage Dynamics

4 - Capital Flows

Balance of Payment (BoP) tracker

Central Bank FX Reserves

Equities capital flows

Fixed Income capital flows

Japan foreign portfolio investment tracker

5 - Fiscal Policies and Public Debts

Eurozone Fiscal Monitor

Global Fiscal Monitor

6 - Country by Country

France 360° Monitors

Outlook and Forecasts:

A global view on the Developed Market economies and all our forecasts on Macro (up to extremely detailed components of growth and central banks).

Global Economics:

A detailed view on GDP and its sub-components what contributes to growth, what is overheating what is depressed? By geographic area.

A view by sector and a cross-country analysis of labour markets.

Leverage Analytics:

Who is indebted – by agent and by country? What is the trend? What are the risks? Leverage is everywhere, but now you know where it is.

Capital Flows:

Who is buying what asset? What country is indebted to which country? What are central banks buying (by asset & by country)?

You can dig as much as you like in these dashboards – we have all the answers.

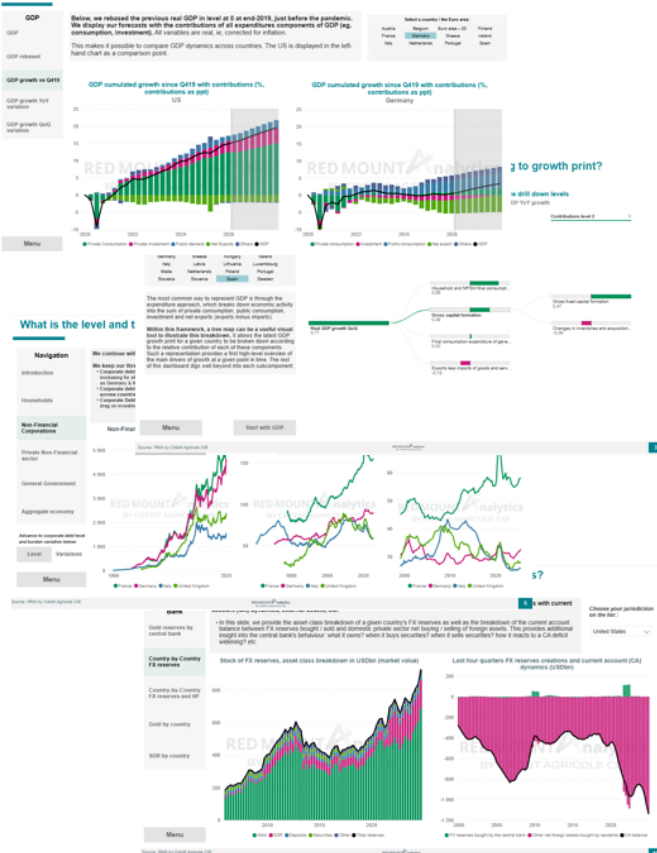
Fiscal Policies and Public Debt:

A deep dive into Eurozone fiscal outlooks: deficits, debts, trends, sustainability, details of public expenditures. From the helicopter view to the geeky Maastrichian approach.

Country by Country:

Only one topic for now, to be extended. France came to the brink of a crisis in 2024 – see how and why. This section will be expanded in the future as other countries come under the spotlight.

GDP growth: vs Q419 with contributions and forecasts



Source: RMA by Crédit Agricole CIB

Red Mount Analytics

Complex markets require the most advanced and powerful tools...



Source: RMA by Crédit Agricole CIB

Our new [interactive data website](#) features:

- 25bn data points
- over 4,500 interactive charts
- over 1,000 proprietary models
- over 250 use cases
- over 150 thematic reports
- 9 product classes (eg, EM, FX, Sustainable, Credit)
- 6 categories (eg, flows, fundamentals, RV)
- 90% exclusive content
- AI modelling

Global Markets Research contact details

Jean-François Paren Head of Global Markets Research +33 1 41 89 33 95					
	Asia (Hong Kong, Singapore & Tokyo)		Europe (London & Paris)		Americas (New York)
Macro Strategy	Takuji Aida Chief Economist Japan +81 3 4580 5360	Ken Matsumoto Macro Strategist Japan +81 3 4580 5337	Louis Harreau Head of Developed Markets Macro & Strategy +33 1 41 89 98 95	Valentin Giust Global Macro Strategist +33 1 41 89 30 01	Nicholas Van Ness ** US Economist +1 212 261 7601
Interest Rates			Guillaume Martin Interest Rates Strategist +33 1 41 89 37 66 Riccardo Lamia Interest Rates Strategist +33 1 41 89 63 83	Jean-François Perrin Senior Inflation Strategist +33 1 41 89 73 49 Matthias Loise Inflation Strategist +33 1 41 89 20 06	Alex Li ** Head of US Rates Strategy +1 212 261 3950
Emerging Markets	Xiaojia Zhi Chief China Economist Head of Research, Asia ex-Japan +852 2826 5725 Eddie Cheung CFA Senior Emerging Market Strategist +852 2826 1553	Jeffrey Zhang Emerging Market Strategist +852 2826 5749 Yeon Jin Kim Emerging Market Analyst +852 2826 5756	Sébastien Barbé Head of Emerging Market Research & Strategy +33 1 41 89 15 97		Olga Yangol ** Head of Emerging Market Research & Strategy, Americas +1 212 261 3953
Foreign Exchange	David Forrester Senior FX Strategist +65 6439 9826		Valentin Marinov Head of G10 FX Research & Strategy +44 20 7214 5289	Alexandre Dolci FX Strategist +44 20 7214 5064	
Quant Research			Alexandre Borel Data Scientist +33 1 57 87 34 27		

** employee(s) of Crédit Agricole Securities (USA), Inc.

Certification

The views expressed in this report accurately reflect the personal views of the undersigned analyst(s). In addition, the undersigned analyst(s) has not and will not receive any compensation for providing a specific recommendation or view in this report.

Takuji Aida, Ken Matsumoto

Important: Please note that in the United States, this fixed income research report is considered to be fixed income commentary and not fixed income research. Notwithstanding this, the Crédit Agricole CIB Research Disclaimer that can be found at the end of this report applies to this report in the United States as if references to research report were to fixed income commentary. Products and services are provided in the United States through Crédit Agricole Securities (USA), Inc.

Foreign exchange disclosure statement to clients of CACIB

https://www.ca-cib.com/sites/default/files/2017-02/2016-05-04-cacib-fx-disclosure-april-2016_0.pdf

Additional recommendation obligations – available from analyst(s) upon request:

- A list of all the recommendation changes on any financial instrument or issuer disseminated within the last 12 months.
- Where Crédit Agricole CIB is a market-maker or liquidity provider in the financial instruments of the issuer.

MiFID II contact details

Andrew Taylor MiFID II Research contact andrew.taylor@ca-cib.com	Please send your questions on MiFID II to: research.mifid2@ca-cib.com
--	---

Disclaimer

© 2026, CRÉDIT AGRICOLE CORPORATE AND INVESTMENT BANK All rights reserved.

This research report or summary has been prepared by Crédit Agricole Corporate and Investment Bank or one of its affiliates (collectively "Crédit Agricole CIB") from information believed to be reliable. Such information has not been independently verified and no guarantee, representation or warranty, express or implied, is made as to its accuracy, completeness or correctness.

This report is provided for information purposes only. Nothing in this report should be considered to constitute investment, legal, accounting or taxation advice and you are advised to contact independent advisors in order to evaluate this report. It is not intended, and should not be considered, as an offer, invitation, solicitation or personal recommendation to buy, subscribe for or sell any of the financial instruments described herein, nor is it intended to form the basis for any credit, advice, personal recommendation or other evaluation with respect to such financial instruments and is intended for use only by those professional investors to whom it is made available by Crédit Agricole CIB. Crédit Agricole CIB does not act in a fiduciary capacity to you in respect of this report.

Crédit Agricole CIB may at any time stop producing or updating this report. Not all strategies are appropriate at all times. Past performance is not necessarily a guide to future performance. The price, value of and income from any of the financial instruments mentioned in this report can fall as well as rise and you may make losses if you invest in them. Independent advice should be sought. In any case, investors are invited to make their own independent decision as to whether a financial instrument or whether investment in the financial instruments described herein is proper, suitable or appropriate based on their own judgement and upon the advice of any relevant advisors they have consulted. Crédit Agricole CIB has not taken any steps to ensure that any financial instruments referred to in this report are suitable for any investor. Crédit Agricole CIB will not treat recipients of this report as its customers by virtue of their receiving this report.

Crédit Agricole CIB, its directors, officers and employees may have financial interests or may effect transactions (whether long or short) in the financial instruments described herein for their own accounts or for the account of others, may have positions relating to other financial instruments of the issuer thereof, or any of its affiliates, or may perform or seek to perform securities, investment banking or other services for such issuer or its affiliates, within the regulatory framework set by Article 37 of Delegated Regulation (EU) 2017/565. Crédit Agricole CIB may have issued, and may in the future issue, other reports that are inconsistent with, and reach different conclusions from, the information presented in this report. Without prejudice to the requirements arising from Article 4 of Delegated Regulation (EU) 2016/958, Crédit Agricole CIB is under no obligation to ensure that such other reports are brought to the attention of any recipient of this report. Crédit Agricole CIB has established a "Policy for Managing Conflicts of Interest" which is available upon request. A summary of this policy is published on the Crédit Agricole CIB website [conflict of interest | Crédit Agricole CIB](#). This policy also applies to the investment research activity.

None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior express written permission of Crédit Agricole CIB. To the extent permitted by applicable securities laws and regulations, Crédit Agricole CIB accepts no liability whatsoever for any direct or consequential loss arising from the use of this document or its contents.

France: Crédit Agricole Corporate and Investment Bank is authorized and regulated by the Autorité de Contrôle Prudentiel et de Résolution ("ACPR") and supervised by the European Central Bank ("ECB"), the ACPR and the Autorité des Marchés Financiers ("AMF"). Crédit Agricole Corporate and Investment Bank is incorporated in France with limited liability. Registered office: 12, Place des Etats-Unis, CS 70052, 92 547 Montrouge Cedex (France). Companies Register: SIREN 304 187 701 with Registre du Commerce et des Sociétés de Nanterre. United Kingdom: Crédit Agricole CIB is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (the "ACPR") and supervised by the European Central Bank (the "ECB"), the ACPR and the Autorité des Marchés Financiers (the "AMF") in France. Crédit Agricole CIB London Branch is authorised by the Prudential Regulation Authority and subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. Details about the extent of our regulation by the Financial Conduct Authority and the Prudential Regulation Authority are available from Crédit Agricole CIB London on request. Crédit Agricole Corporate and Investment Bank is a public limited company ("société anonyme") under French law, incorporated in France under SIREN number 304187701 at the Nanterre Trade and Companies Registry, with limited liability and its head office address at 12, Place des États-Unis, CS 70052, 92547 Montrouge Cedex, France. It is registered in England and Wales as an overseas company at Companies House under company number FC008194, with a UK establishment at Broadwalk House, 5 Appold Street, London, EC2A 2DA, United Kingdom (UK establishment number BR001975). United States of America: This research report is prepared by Crédit Agricole Corporate and Investment Bank and is distributed in the United States solely to persons who qualify as "Major U.S. Institutional Investors" as defined in Rule 15a-6 under the Securities and Exchange Act of 1934 and who deal with Crédit Agricole Corporate and Investment Bank. This report does not carry all of the independence and disclosure standards of a retail debt research report or a research report prepared by a U.S. broker-dealer. Recipients of this research in the United States wishing to effect a transaction in any security mentioned herein should do so by contacting Crédit Agricole Securities (USA), Inc. (a broker-dealer registered with the Securities and Exchange Commission ("SEC") and the Financial Industry Regulatory Authority ("FINRA"). The delivery of this research report to any person in the United States shall not be deemed a recommendation of Crédit Agricole Securities (USA) Inc. to effect any transactions in the securities discussed herein or an endorsement of any opinion expressed herein. This report shall not be re-distributed in the United States without the consent of Crédit Agricole Securities (USA) Inc. Italy: Crédit Agricole Corporate and Investment Bank is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (the "ACPR") and supervised by the European Central Bank (the "ECB"), the ACPR and the Autorité des Marchés Financiers (the "AMF") in France. Crédit Agricole Corporate and Investment Bank Milan Branch is subject to supervision by the Bank of Italy and by the Commissione nazionale per le società e la borsa ("CONSOB"). This report is not intended, and should not be considered, as an offer, invitation, solicitation or recommendation to buy or sell any of the financial instruments described herein. This report is not intended, and should not be considered, as advice on investments in securities under the Consolidated Financial Law (Legislative Decree No. 50 of 24 February 1998) and can only be distributed to, and circulated among, professional investors (controparti qualificate), as defined by the relevant Italian securities legislation. Spain: This report may only be distributed to professional investors (as defined in Article 194 of Law 6/2023, of 17 March, of the Securities Markets and the Investment Services, and Article 112 of Royal Decree 813/2023, of 8 November, on the legal regime for investment services firms and other entities providing investment services) and cannot be distributed to other investors that do not fall within the category of professional investors. Hong Kong: Distributed by Crédit Agricole Corporate and Investment Bank, Hong Kong branch, an authorized financial institution registered with the Securities and Futures Commission for Type 1 (dealing in securities), Type 4 (advising on securities) and Type 6 (advising on corporate finance) regulated activities with Central Entity Number AAK816. This research report has not been reviewed or authorised by any regulatory authority in Hong Kong and is available only for professional investors within the meaning of the Securities and Futures Ordinance (Cap.571) and its subsidiary legislations. Japan: Distributed by Crédit Agricole Securities Asia B.V. which is registered for financial instruments business in Japan pursuant to the Financial Instruments and Exchange Act (Act No. 25 of 1948), and is not intended, and should not be considered, as an offer, invitation, solicitation or recommendation to buy or sell any of the financial instruments described herein. This report is not intended, and should not be considered, as advice on investments in securities which is subject to the Financial Instruments and Exchange Act (Act No. 25 of 1948). Singapore: Crédit Agricole Corporate and Investment Bank, Singapore branch ("CACIB SG") may distribute information/research produced by its head office Crédit Agricole Corporate and Investment Bank incorporated in France, pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. Credit Agricole Corporate and Investment Bank only distributes to accredited, expert, or institutional investors (in each case, as defined in the Securities and Futures Act 2001).

Switzerland: This report is provided only to institutional clients and/or professional clients within the meaning of the Swiss Financial Services Act and in strict compliance with applicable Swiss law. This document is not a prospectus within the meaning of Swiss Financial Services Act. The products mentioned in this document may not be suitable for all types of investors. Germany: This report may only be distributed to institutional investors. Australia: Distributed to wholesale investors only. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act.

THE DISTRIBUTION OF THIS DOCUMENT IN OTHER JURISDICTIONS MAY BE RESTRICTED BY LAW, AND PERSONS INTO WHOSE POSSESSION THIS DOCUMENT COMES SHOULD INFORM THEMSELVES ABOUT, AND OBSERVE, ANY SUCH RESTRICTIONS. BY ACCEPTING THIS REPORT, YOU AGREE TO BE BOUND BY THE FOREGOING.

09/12/25